Motilal Oswal Financial Services Ltd

BUY

NSE: MOFSL | Financial Services / Capital Markets

CMP	TARGET PRICE	MARKET CAP	MARKET CAP CATEGORY	SAARTHI SCORE	PROB. WEIGHTED TP
₹822.90	₹1,127	₹49,079 Cr	Mid Cap	72/100	₹1,109
As of 28/04/2026	12M upside case		Financial Services leader	BUY (70-84 range)	

Report Reference: Q2 FY2025-26 | 28/04/2026

"BUY with SAARTHI Score of 72/100"

Investment Thesis

BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven by its accelerating transformation from a cyclical broking firm into a high-quality, annuity-driven financial services platform. Annual Recurring Revenue (ARR) now constitutes the relevant figure of total net revenues — with management guiding for further increases — fundamentally re-rating the quality of the earnings base. CMP of the relevant figure offers a the relevant figure discount to analyst consensus target of the relevant figure with a probability-weighted target of the relevant figure.

ARR Transformation

ARR at 65% of net revenues (up from 61%); fee-based at 45%. Annuity income reduces transaction-cycle volatility.

Profitability Momentum

Q2FY25 PAT INR 1,242 Cr (+123% YoY); H1FY26 operating PAT INR 1,088 Cr (+11% YoY); Asset & PWM businesses leading at +32% PAT growth.

AUM Scale and Outperformance

Total AUM INR 1.77L Cr (+46% YoY). AMC AUM INR 1.89L Cr (+33%) with INR 11,610 Cr net flows. 91% of AUM outperforming benchmarks over 3 years.

Private Wealth Expansion

PWM AUM INR 1.96L Cr (+31% YoY); family count +41% YoY; PAT +14% (9M). Distribution book +34% YoY to INR 42,775 Cr.

Valuation Opportunity

CMP INR 822.90 vs consensus TP INR 1,126.67 (max INR 1,200) — 37% upside. Probability-weighted target INR 1,109.

Credit Upgrade

Long-term credit rating upgraded to AA+ (Stable) by ICRA. Net worth INR 12,871 Cr (+16% YoY).

FINANCIAL SUMMARY (INR CRORE)

Metric	FY24A	FY25A	FY26E	FY27E
Revenue	₹7,106.0	₹8,340.0	₹10,402.0	₹12,973.0
EBITDA	₹4,082.0	₹4,546.0	₹5,439.0	₹6,784.0
EBITDA Mgn	57.4%	54.5%	52.3%	52.3%
PAT	₹2,441.0	₹2,502.0	₹3,066.0	₹3,983.0
PAT Mgn	34.4%	30.0%	29.5%	30.7%
EPS	₹41.0	₹41.7	₹51.2	₹66.5
P/E	20.1x	19.7x	16.1x	12.4x
P/B	5.6x	4.5x	3.6x	2.9x
EV/EBITDA	9.5x	11.4x	12.7x	10.5x

H1 FY26 SNAPSHOT

Consol. Net Revenue	₹2,888 Cr
Operating PAT	₹1,088 Cr (+11% YoY)
ARR % of Net Revenue	65%
Fee-Based % of Revenue	45%
EPS FY25 Annual	₹51.2

KEY VALUATION METRICS

P/E (TTM)	24.20x
P/B Ratio	3.82x
EPS (FY25A)	₹41.7
EPS (FY27E)	₹66.5

ANALYST CONSENSUS

Consensus TP	₹1,127
Max Target	₹1,200

KEY OPERATING STATS

Total AUM	₹1.77L Cr
AMC AUM	₹1.89L Cr
Pvt Wealth AUM	₹1.96L Cr

CREDIT RATING

ICRA Rating	AA+
Outlook	Stable

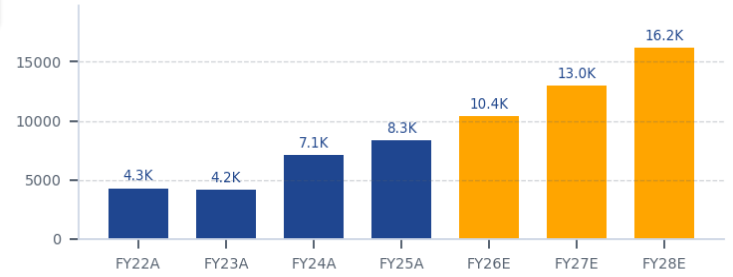
ARR INFLECTION WATCH

65%

ARR of total net revenues. Re-rating trigger: 70%+ ARR.

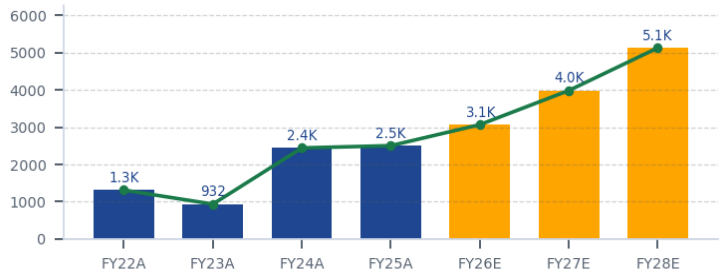
02 Story in Charts - MOFSL's Financial & Operational Journey

REVENUE (INR CR) - FY22 TO FY28E



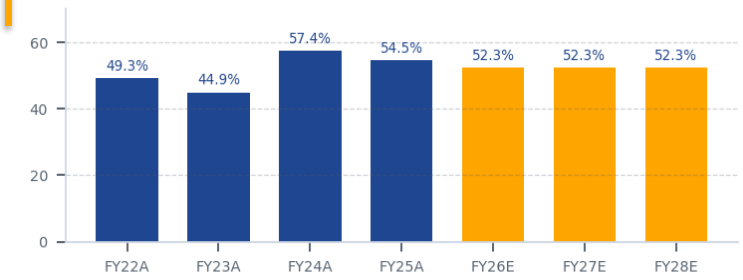
Revenue trajectory shows operating scale-up across forecast years | Source: MOFSL, Tikona Capital

PAT (INR CR) - FY22 TO FY28E



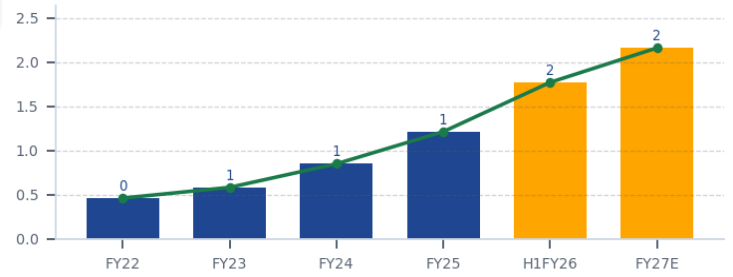
PAT compounding reflects brokerage headwinds absorbed by fee-led businesses | Tikona Capital Est.

EBITDA MARGIN (%) - FY22 TO FY28E



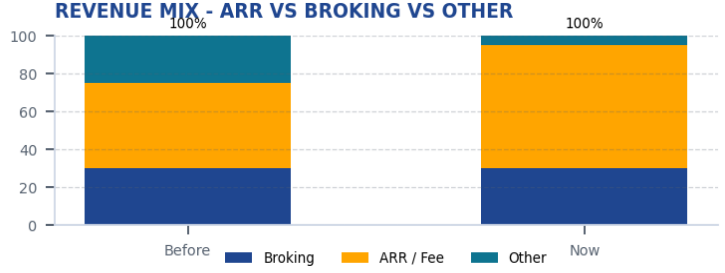
EBITDA margins remain structurally high as ARR grows | Tikona Capital

TOTAL AUM GROWTH (INR LAKH CR) - TRAJECTORY



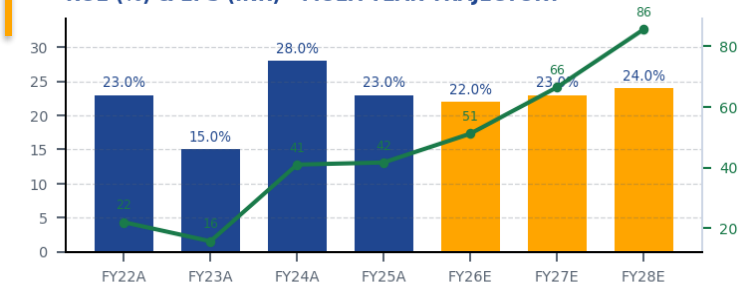
AUM trajectory uses model latest AUM and reported YoY growth to anchor the journey

REVENUE MIX - ARR VS BROKING VS OTHER



ARR shift highlights structural revenue-quality improvement

ROE (%) & EPS (INR) - MULTI-YEAR TRAJECTORY



Return profile and EPS trajectory remain central to re-rating

03 Investment Thesis

BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven by its accelerating transformation from a cyclical broking firm into a high-quality, annuity-driven financial services platform. Annual Recurring Revenue (ARR) now constitutes the relevant figure of total net revenues — with management guiding for further increases — fundamentally re-rating the quality of the earnings base. CMP of the relevant figure offers a the relevant figure discount to analyst consensus target of the relevant figure with a probability-weighted target of the relevant figure.

- BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven...
- ARR contribution at the relevant figure of total net revenues, reducing cyclical broking volatility
- Q2FY25 profits up the relevant figure YoY with the relevant figure revenue growth and the relevant figure ROE
- Total AUM at the relevant figure lakh crore (+the relevant figure YoY); the relevant figure of AUM outperforming benchmar...
- Private Wealth AUM at the relevant figure lakh crore (+the relevant figure YoY); family count up the relevant figure YoY
- Long-term credit rating upgraded to AA+ (Stable) by ICRA

04 Industry Overview - Tailwinds / Risks

Indian Financial Services is a strategic shock absorber for the growth story. India is expected to have the relevant figure HNWIs by 2027 and become the fourth-largest private wealth market by 2028, with a the relevant figure projected rise in UHNWIs. The financial services sector is projected to nearly double profits by FY30, led by NBFCs growing at the relevant figure annually. Mutual fund penetration at just 5–the relevant figure reflects substantial latent growth opportunity. Private credit hit a record the relevant figure billion in H1 2025, up the relevant figure YoY.

- Mutual fund penetration at 5-the relevant figure — massive latent opportunity
- Financial savings shifting from gold/real estate to financial assets
- BSE-listed companies grew from 135 (1995) to 5,328 (Feb 2025)
- Private wealth set to be 4th-largest globally by 2028
- NBFCs growing at the relevant figure annually with improving asset quality
- Demographic dividend — large working-age population entering peak earning

05 Company Overview

Motilal Oswal Financial Services, founded in 1987 by Motilal Oswal and Raamdeo Agrawal, has evolved from a research-driven equity broking house into one of India's most comprehensive financial services platforms. The company spans Capital Markets, Asset & Wealth Management, Housing Finance, and Alternative Investments, serving over 1,600,000 customers across 550+ cities through 2,500+ business locations. Research coverage of 300+ companies remains the firm's enduring competitive moat.

CMP	TP	UPSIDE
₹822.9	₹1,127.0	37.0%

06 Key Investment Idea - Thesis Detail

Six themes underpinning the investment view.

- ARR Transformation: ARR at the relevant figure of net revenues (up from the relevant figure); fee-based at the relevant figure. Annuity income reduces transaction-cycle volatility.
- Profitability Momentum: Q2FY25 PAT the relevant figure Cr (+the relevant figure YoY); H1FY26 operating PAT the relevant figure Cr (+the relevant figure YoY); Asset & PWM businesses leading at +the rel
- AUM Scale and Outperformance: Total AUM the relevant figureL Cr (+the relevant figure YoY). AMC AUM the relevant figureL Cr (+the relevant figure) with the relevant figure Cr net flows. the relevant f
- Private Wealth Expansion: PWM AUM the relevant figureL Cr (+the relevant figure YoY); family count +the relevant figure YoY; PAT +the relevant figure (9M). Distribution book +the relevant figure YoY t
- Valuation Opportunity: CMP the relevant figure vs consensus TP the relevant figure (max the relevant figure) — the relevant figure upside. Probability-weighted target the relevant figure.
- Credit Upgrade: Long-term credit rating upgraded to AA+ (Stable) by ICRA. Net worth the relevant figure Cr (+the relevant figure YoY).

07 Competitive Landscape

Competitive advantage rests on research depth, integrated distribution, and fee-led platform breadth.

- Research franchise covering 300+ companies — institutional moat
- QGLP investment philosophy with 'Buy Right, Sit Tight' framework
- the relevant figure ARR contribution — structural revenue-quality improvement vs broking peers
- the relevant figure of AUM outperforming benchmarks over 3 years
- 550+ cities and 2,500+ business locations — deep distribution
- Integrated platform: broking → PMS → wealth → IB cross-sell

08 Demand Drivers

- ARR contribution crossing the relevant figure of revenues, triggering valuation re-rating from broking to asset management multiples - Sustained AMC AUM growth above the relevant figure YoY with net flows exceeding the relevant figure crore annually - Private wealth AUM growth above the relevant figure YoY with family count expansion - Operating leverage improvement with cost-to-income ratio declining - Regulatory clarity on F&O trading norms

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09 Business Model

Segment	Scale Metric	Latest	Notes
Capital Markets (Broking + IB)	Brokerage Rev YoY	-24%	Equity, derivatives, commodity, currency trading + institutional services and investment banking. Brokerage now contributes only 30% of total revenue, down from historical highs.
Asset Management	AMC AUM	INR 1.89L Cr (+33% YoY)	Mutual funds and PMS. 91% of AUM outperforming benchmarks over 3 years.
Private Wealth Management	PWM AUM	INR 1.96L Cr (+31% YoY)	HNI/UHNI advisory. Family count up 41% YoY.
Housing Finance	Loan Book	INR 6,630 Cr (+25% YoY)	Retail mortgage lending — affordable and mid-segment.
Alternative Investments	Carry Income	INR 58 Cr recurring	Private credit, real estate, alternatives.

10 Management Analysis

Founder-led leadership with deep institutional DNA.

Name	Role	Background
Raamdeo Agrawal	Chairman, MOFSL & Chairman, AMC	Co-founder (1987). Creator of the QGLP investment process and 'Buy Right, Sit Tight' framework. Built one of India's most respected investment research franchises. Widely cited investment thinker.
Motilal Oswal	Founder, Chairman & MD	Co-founder (1987). Led the firm's transformation from broking house into a comprehensive financial services platform. Recipient of Rashtriya Samman Patra for being among the highest taxpayers FY95–FY99.
Navin Agarwal	Executive Board — Strategy & Capital Allocation	Joined 2000. Drives business strategy and capital allocation across the Group, building market-leading positions through disciplined deployment.
Ajay Menon	Executive — Operations, Compliance, Risk & Technology	Joined 1998. 27+ years in Indian capital markets. Cornerstone of operational excellence and technology initiatives across the Group.

11 Corporate Governance

Recurring regulatory matters are operational rather than fraudulent. Despite SEBI interventions, structural lapses suggest deeper governance attention needed in risk management. Pattern warrants monitoring but does not impair the business model.

Matter	Description	Severity
SEBI — Margin Reporting Violations	INR 7 lakh penalty for margin reporting, collection violations, and other regulatory lapses found during inspection.	Low
SEBI — Client Fund Misutilization (2022)	INR 25 lakh fine for misutilization of client funds and inaccurate margin reporting.	Medium
NSEL — Misselling Accusations	Accused alongside other top brokers of misselling NSEL contracts, KYC manipulation, client code modification, and illegal transactions per SFIO/EOW findings.	High (Historical)
SEBI — Not Fit and Proper (Commodities)	Declared 'not fit and proper' as commodity derivative broker in Feb 2019 based on SFIO/EOW recommendations.	High (Historical)
Unauthorized Terminal Operations	13 NSE and 9 BSE terminals operating from undeclared locations including an unreported branch in Delhi.	Medium

12 Earnings Forecast

Period	Revenue
FY22A	₹4,298.0 Cr
FY23A	₹4,178.0 Cr
FY24A	₹7,106.0 Cr
FY25A	₹8,340.0 Cr
FY26E	₹10,402.0 Cr
FY27E	₹12,973.0 Cr
FY28E	₹16,181.0 Cr

13 Financials - Quarterly Performance

Recent quarterly trajectory showing the variability inherent to the cyclical revenue base.

Quarter	PAT
Q2FY25	₹1,242.0 Cr
Q3FY25	₹715.0 Cr
Q4FY25	₹545.0 Cr
Q1FY26	₹425.0 Cr
Q2FY26	₹401.0 Cr

14 Financials - Key Ratios

Margin and return profile across the forecast period.

Ratio	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
EBITDA Margin	49.3%	44.9%	57.4%	54.5%	52.3%	52.3%	52.3%
PAT Margin	30.5%	22.3%	34.4%	30.0%	29.5%	30.7%	31.7%
RoE	23.0%	15.0%	28.0%	23.0%	22.0%	23.0%	24.0%
RoCE	19.0%	13.0%	21.0%	19.0%	18.0%	18.0%	19.0%
RoIC	92.0%	78.0%	119.0%	87.0%	35.0%	24.0%	24.0%
P/E	37.5x	52.3x	20.1x	19.7x	16.1x	12.4x	9.6x
P/B	8.7x	7.8x	5.6x	4.5x	3.6x	2.9x	2.3x
EV/EBITDA	9.0x	10.3x	9.5x	11.4x	12.7x	10.5x	8.8x

15 Valuations

Probability-weighted target price reconciles bull, base, and bear cases.

Case	Target	Weight	Basis
Bull Case	1,400.0	30.0%	28x P/E on FY27E EPS of INR 50; ARR > 70%, AMC +40% YoY.
Base Case	1,127.0	50.0%	24x P/E on FY27E EPS of INR 47; ARR stable at 65%, steady AUM.
Bear Case	630.0	20.0%	18x P/E on depressed FY27E EPS of INR 35; sustained regulatory headwinds.

SAARTHI Total Score: **72 / 100**

BUY (70-84 RANGE)

Strongest: Addressable Market & Adjacency (9/10)

Weakest: Asymmetric Pricing Power (10/15)

S - Scalability of Core Engine — 12 / 15

ARR at 61% of net revenues; fee-based at 45%. H1FY26 operating PAT INR 1,088 Cr (+11% YoY) on net revenue INR 2,888 Cr (+15%). Asset-light fee model scales without proportional cost growth. F&O constraints limit broking scalability near-term. AMC AUM +33% YoY to INR 1.89L Cr with INR 11,610 Cr net flows.

A1 - Addressable Market & Adjacency (Strongest) — 9 / 10

16.57L HNWIs by 2027; India 4th-largest private wealth market by 2028 (+58.4% UHNWIs). Sector profits to nearly double by FY30. MF penetration at 5–6%. Massive TAM with adjacency expansion across capital markets, wealth, housing, alternatives. India private credit hit USD 9.0 Bn in H1 2025 (+53% YoY).

A2 - Asymmetric Pricing Power (Weakest) — 10 / 15

91% of AUM outperforming benchmarks over 3 years gives pricing power in PMS/wealth. Brokerage revenue down 24% from regulatory changes — fee compression in cyclical segment. Discount brokers and fintech limit pricing in commoditized broking. Diversified mix offset 24% brokerage decline, validating partial pricing-power hedge.

R - Reinvestment Quality — 13 / 15

MCap INR 49,079 Cr (+24.8% YoY); P/E 24.2; P/B 3.82. Strong RoCE; disciplined allocation into high-return fee businesses. Reinvestment in tech, talent, distribution, research generates sustainable advantage. PWM AUM +31% YoY to INR 1.96L Cr; family count +41%; PAT +14% (9M).

T - Track Record Through Adversity — 8 / 10

Q2FY25 PAT INR 1,242 Cr (+123% YoY), 46% revenue growth, 48% RoE — recovery and execution. Q2FY26 PAT -67.6% YoY, revenue -34.9% YoY shows residual cyclicality from F&O regulation. Continuity across cycles maintained. Despite repeated SEBI interventions, AUM and ARR base continue to compound — institutional resilience.

H - Human Capital & Institutional DNA — 9 / 10

Raamdeo Agrawal: QGLP creator, 'Buy Right, Sit Tight' framework. Navin Agarwal (since 2000): business strategy and capital allocation. Ajay Menon (27+ yrs): operations, compliance, risk, technology. Founding duo across nearly four decades — rare DNA in Indian financial services. Rashtriya Samman Patra recipient (top tax-payer FY95–FY99) signals early ethical commercial success.

I - Inflection Point Identification — 11 / 15

Consensus TP INR 1,126.67 (max INR 1,200) vs CMP INR 822.90 — 37% upside; market not yet pricing ARR re-rating. Credit rating upgraded to AA+ (Stable) by ICRA. ARR > 70% would trigger re-rating from broking to asset-management multiples within 6–18 months. ARR at 65% of net revenues (up from 61%); management guiding higher — measurable inflection.

SAARTHI Conviction Statement

Motilal Oswal Financial Services Ltd sits in the BUY (70-84 range) zone. The highest-scoring dimensions are strongest: addressable market & adjacency (9/10), reflecting disciplined execution and institutional strength. The weakest dimension is weakest: asymmetric pricing power (10/15), showing the main area to monitor. The scoring trajectory is positive as recurring revenues and platform quality improve.

17 Scenario Analysis

BEAR CASE - ₹630 (-23.4% vs CMP)

Macro Assumptions

Equity markets remain subdued. Revenue CAGR slows to 6.0%; EBITDA margin compresses to 45.0% as regulation and lower risk appetite pressure activity.

Business Assumptions

Broking headwinds and fee pressure reduce operating momentum. Sustained F&O headwinds, fintech share loss.

Valuation Assumptions

18x P/E on depressed FY27E EPS of INR 35; sustained regulatory headwinds. Target price ₹630, probability 20.0%, vs CMP -23.4%.

Metric	Bear Value
Revenue CAGR	6.0%
EBITDA Margin	45.0%
Target Price	₹630
Probability	20.0%
vs CMP	-23.4%

BASE CASE - ₹1,127 (+37.0% vs CMP) - PRIMARY RECOMMENDATION

Macro Assumptions

Markets normalize and savings flows remain constructive. Revenue compounds at 16.0%; EBITDA margin holds near 51.0% on steady AUM growth.

Business Assumptions

ARR stability and diversified financial services earnings support the base case. ARR steady at 65%, AUM compounding, stable regulation.

Valuation Assumptions

24x P/E on FY27E EPS of INR 47; ARR stable at 65%, steady AUM. Target price ₹1,127, probability 50.0%, vs CMP +37.0%.

Metric	Base Value
Revenue CAGR	16.0%
EBITDA Margin	51.0%
Target Price	₹1,127
Probability	50.0%
vs CMP	+37.0%

BULL CASE - ₹1,400 (+70.1% vs CMP)

Macro Assumptions

Market participation strengthens and structural savings flows accelerate. Revenue compounds at 27.5%; EBITDA margin expands to 55.0% with operating leverage.

Business Assumptions

ARR mix, AMC scale, and wealth management momentum trigger re-rating. ARR > 70%, AMC AUM +40% YoY, regulatory clarity.

Valuation Assumptions

28x P/E on FY27E EPS of INR 50; ARR > 70%, AMC +40% YoY. Target price ₹1,400, probability 30.0%, vs CMP +70.1%.

Metric	Bull Value
Revenue CAGR	27.5%
EBITDA Margin	55.0%
Target Price	₹1,400
Probability	30.0%
vs CMP	+70.1%

18 Key Risks & Thesis Invalidation Triggers

- SEBI regulatory headwinds on F&O trading norms compressing cyclical broking revenues
- Q2FY26 profit declined the relevant figure YoY and revenue the relevant figure YoY due to regulatory changes — residual cyclicality
- Competitive intensity from discount brokers and fintech platforms compressing yields
- Forensic / governance: recurring SEBI matters require monitoring (Monitor Closely category)
- Mark-to-market volatility on the proprietary book
- Housing finance asset-quality slippage in stressed credit cycles

19 Entry, Review, Exit Strategy

Conviction Statement

Conviction Statement: We initiate coverage on Motilal Oswal Financial Services Ltd with a BUY rating and target price of ₹1,127, representing +37% upside from current levels. At CMP ₹823, investors are buying a research-driven financial services platform with ARR quality, AUM scale, and a clear re-rating pathway.

ENTRY STRATEGY - WHEN TO BUY

Immediate Entry Zone

Current entry range is ₹800-850 - optimal accumulation zone. 15-20% discount to analyst consensus target — margin of safety. Use staggered buying to reduce market-timing risk while the valuation discount remains available.

Add-On Zone

Add on weakness if price corrects toward the downside support area. Stop-loss at ₹750 (-8% from CMP) on technical break with high volume Treat volatility as opportunity only if the core ARR and AUM thesis remains intact.

Review Points - Thesis Confirmation Milestones

Every quarter: ARR contribution above 60% of net revenues; AMC AUM growth above 25% YoY with net flows > ₹10,000 Cr; PWM AUM growth above 25% YoY with family count expansion; Cost-to-income ratio declining.

THESIS INVALIDATION TRIGGERS - WHEN TO EXIT

- EXIT — ARR contribution drops below 55% for two consecutive quarters
- EXIT — Major SEBI enforcement action with direct business impact
- EXIT — AMC AUM declining for two consecutive quarters
- EXIT — Management guidance signaling structural headwinds beyond FY26

INVESTMENT SUMMARY SCORECARD

Parameter	Assessment	Score
SAARTHI Framework	BUY Zone	72/100
Valuation Attractiveness	+37% undervalued	Upside 37%
Revenue Quality	65% ARR recurring	High quality
AUM Growth Visibility	High	46% YoY
Management Track Record	Founder-led	9/10
Governance Risk	Monitor closely	6/10
Earnings Growth	Strong	27% CAGR
Credit Rating	AA+	AA+ Stable
Overall Recommendation	BUY - High Conviction	TP: ₹1,127

Position Summary

Rating: BUY | Entry range: ₹800-850. Base target price: ₹1,127. Probability-weighted target: ₹1,109. Stop-loss: Stop-loss at ₹750 (-8% from CMP) on technical break with high volume. Position sizing: 3-5% of portfolio (institutional).

Exit Strategy - Scaling Out on Gains

Sell 1: Sell 50% at ₹1,100-1,150 (30-40% gains)

Sell 2: Sell remaining at ₹1,200+ if multiples expand beyond 25x P/E

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